● FREE GUIDE · POLAND · UPDATED FOR 2026

How IKE and IKZE *actually* work

A plain-language guide to Poland's two tax-friendly retirement accounts — written for people who live and work here but don't read Polish legalese for fun.

FOR FOREIGNERS IN POLAND • ENGLISH • ~15 MIN READ • EDUCATIONAL, NOT ADVICE

You've probably heard three things: that Poland has two tax-friendly retirement accounts, that foreigners can't really use them, and that your money gets locked away until you're old.

Only the first one is true.

Foreigners absolutely can open both — your passport isn't the deciding factor. And the "locked until you're old" fear is mostly a misreading of how one of the two accounts handles an early exit. This guide walks through what IKE and IKZE are, how the tax break really works, whether you qualify, where you actually open one, and what happens to your money if you leave Poland. In English, with the numbers spelled out.

THE 30-SECOND VERSION

Two accounts, opposite tax deals

IKE · PAY LATER RELIEF

IKE

You pay in from your after-tax salary. Nothing back now. But when you retire the qualifying way, you pay **0%** tax on everything it earned — no 19% capital-gains tax. 2026 limit: **28,260 zł**.

IKZE · MONEY BACK NOW

IKZE

You subtract what you pay in from this year's taxable income, so you get a refund now. At retirement you withdraw it all and pay a flat **10%**. 2026 limit: **11,304 zł** employed, **16,956 zł** self-employed.

01 First — these aren't investments. They're wrappers.

IKE and IKZE are Poland's voluntary "third-pillar" retirement accounts, created by a 2004 law. The word to hold onto is **wrapper**. An IKE or an IKZE isn't a fund or a stock — it's a box you put money into, and the tax rules apply to the box.

Inside that box you can hold different things depending on where you open it: a bank deposit, units in a managed fund, an insurance-linked fund, or a self-directed portfolio of shares, ETFs and bonds through a brokerage account. Same wrapper, very different contents.

So the tax advantage lives in *how money enters and leaves the box* — not in what you buy inside it. That single idea clears up most of the confusion. The full name behind each acronym, and the rest of the alphabet soup (ZUS, PPK, PIT, PESEL...), is in the cheat sheet at the end.

02 IKE, step by step

Money in. You contribute from your normal after-tax pay. There's no deduction, no refund at contribution time. In 2026 you can put in up to **28,260 zł**.

While it grows. Normally, profit on Polish investments gets hit with a **19%** capital-gains tax — everyone calls it the "Belka tax". Inside an IKE, that tax is where the magic is.

Money out, the qualifying way. Wait until you're 60 (or 55 if you already hold pension rights), and make sure you paid into the account in at least five different calendar years. Withdraw then and you pay **0%** — the whole 19% is waived on every złoty of growth.

Money out early. You can take it out any time, in full or in part. You simply pay the ordinary 19% on the gains — your original contributions come back untouched. An early IKE withdrawal is no worse than a regular taxable brokerage account.

> **IN PLAIN TERMS**
>
> IKE = tax on the way in (it's just your salary), then tax-free growth on the way out if you wait. Flexible if you don't.

03 IKZE, step by step

Money in. You subtract what you contribute from your taxable income for that year. That lowers your tax bill — you get part of the contribution back as a refund. Two limits apply in 2026: **11,304 zł** if you're on a regular employment contract or not running a business, and **16,956 zł** if you're self-employed (JDG).

How much comes back depends on your tax rate. The deduction reduces your taxable base, so the refund equals the contribution times your marginal rate:

Self-employed, top of the 32% band, full 16,956 zł	**≈ 5,426 zł back**
Employee at 32%, full 11,304 zł	**≈ 3,617 zł back**
At the 12% rate, full 16,956 zł	**≈ 2,035 zł back**

Illustrative arithmetic at the stated rates — your own figure follows your own income and tax form (see §5).

Money out, the qualifying way. At 65, again with five contribution years behind you, you withdraw the whole balance — contributions plus growth — and pay a flat **10%** on all of it. No 19% Belka along the way.

Money out early. This is the strict one, and it's where the "locked forever" myth comes from. You can't take part of an IKZE — early exit means closing it entirely. The full amount is added to your income for that year and taxed on the normal scale, which effectively hands back the deductions you'd taken. Refunds you already banked in earlier years stay yours.

> **IN PLAIN TERMS**
>
> IKZE = money back now, a small flat 10% at the very end. Great while you keep it; an early exit is a full unwind, not a partial dip.

04 Side by side

	IKE	IKZE
Tax break timing	Later — tax-free growth	Now — a deduction this year
2026 limit	28,260 zł	11,304 / 16,956 zł
Tax while it grows	None	None (deferred)
Tax at qualifying exit	0%	10% flat
Qualifying age	60 (or 55)	65
Five-year rule	Yes	Yes
Early withdrawal	Any time · partial allowed · 19% on gains only	Full close only · added to that year's income
Commonly used by	People wanting long, tax-free compounding and flexibility	People with Polish taxable income who want a refund now — especially JDG (higher limit)

GOOD TO KNOW

They're not either/or. You're allowed one IKE and one IKZE at the same time, and many people fund both. What follows helps you weigh them — not a verdict on which is "right" for you.

05 The part almost nobody explains: your tax form changes the math

The IKZE refund is not one fixed number. It depends on *how* you're taxed in Poland — and this is where a lot of English-language guides quietly mislead people.

- **On the tax scale (skala) or flat 19% (liniowy):** the deduction comes off your income at your marginal rate. The refund is meaningful — the figures in §3 apply.

- **On ryczałt (lump-sum tax on revenue — very common for IT freelancers):** you deduct from revenue at your lump-sum rate, say 12% or 8.5%. The benefit is real, but noticeably smaller.

An IT contractor on 12% ryczałt who pays in the full **16,956 zł** gets back roughly **2,035 zł** — not the ~5,426 zł a 32%-rate payer would see. Same contribution, different world.

> TRAP
>
> If you're on ryczałt and a headline quotes "save 5,000+ zł with IKZE", that number isn't yours. The refund tracks your own rate. For many ryczałt taxpayers, IKE ends up being the more useful first account — because IKE's benefit doesn't depend on a deduction at all.

06 The 2026 numbers, in one place

These limits are set as multiples of the projected average wage and change every year, so always confirm the year you're reading about.

IKE annual limit	**28,260 zł**
IKZE limit — employed / non-business	**11,304 zł**
IKZE limit — self-employed (JDG)	**16,956 zł**
Capital-gains "Belka" tax (waived inside IKE)	**19%**
IKZE tax at retirement	**10%**
Income-tax brackets	**12% / 32%**
32% band starts above	**120,000 zł**

For comparison, the 2025 IKE limit was 26,019 zł — the 2026 figures are about 8.6% higher.

07 "Can I even open one? I'm a foreigner."

Yes — and this is the single most common misconception. Citizenship doesn't gate these accounts. Two things do:

- **A PESEL number.** It makes every step smoother, and many providers require it.

- **Polish tax residency.** Broadly: you spend more than 183 days a year in Poland, *or* your "centre of vital interests" — home, family, main work — is here.

A few practical points that trip people up:

- The IKZE deduction only does something if you have income taxed in Poland. No Polish taxable income means nothing to deduct against — though IKE can still make sense.
- People on UKR status, and holders of temporary or permanent residence cards, can open both, on the same PESEL + tax-residency terms.
- **PESEL vs NIP:** PESEL is the smoother path; some providers accept a NIP, many insist on PESEL. If you're self-employed you'll also have a NIP for the business.
- Some banks want to see a residence card before opening the underlying account. If one refuses, another may not — it varies by institution.

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08 Where you actually open them

The wrapper is only as good as what you can hold inside it. Four kinds of provider offer IKE/IKZE, and they're genuinely different products:

Banks — deposit-style

Capital-guaranteed, zero effort, low returns. Fine for cautious savers; unlikely to beat inflation over the long run.

TFI — fund companies

A managed portfolio of funds. Simple, but read the fees — a high annual cost quietly compounds against you over decades.

Insurers — insurance-linked (UFK)

Often the highest fees and usually the weakest deal. Check the full cost table before signing anything.

Brokerage accounts — self-directed

You choose your own ETFs, shares and bonds inside the wrapper. The most flexibility and typically the lowest cost, but it asks for some investing knowledge.

For English speakers, **XTB** is the one most often mentioned: it's Polish, KNF-regulated, has an English app, and offers both IKE and IKZE with access to global ETFs and shares. **DM BOSSA** (BOŚ) and **mBank eMakler** are the other common self-directed routes.

TRAP

Interactive Brokers, DEGIRO, Revolut, Trading 212 and eToro do **not** offer IKE or IKZE. These wrappers are Polish-broker only. If you want global ETFs *inside* the tax wrapper, that has to be a Polish broker — a foreign one can hold the same ETF, just without the Polish tax break.

09 Four traps worth knowing before you sign

TRAP 01 · TWO IKES = A 75% TAX

You may hold only **one IKE** at a time (and one IKZE). Open a second — or forget an old dormant one from years ago — and the income from holding two can be taxed at **75%**, the harshest flat rate in the Polish system. The tax office doesn't auto-collect it; the burden to report it falls on you.

TRAP 02 · THE RYCZAŁT REFUND ISN'T THE HEADLINE NUMBER

Covered in §5: on ryczałt your IKZE refund follows your lump-sum rate, so it's smaller than the figures aimed at 32%-rate payers.

TRAP 03 · EVERYTHING IS IN ZŁOTY

IKE and IKZE hold PLN. If you expect to retire in another currency, that's a real exchange-rate exposure — expat sources tend to call it the single biggest downside.

TRAP 04 · INSURANCE-WRAPPED VERSIONS AND THEIR FEES

UFK / insurer versions can carry costs that quietly erode returns over the years. Compare the total cost against a low-fee brokerage or fund option before committing.

10 "What if I leave Poland?"

This is the question that stops people from opening an account at all. Here's how the Polish side works — the destination-country side depends on where you go, and that's a licensed-advisor conversation.

- **You keep the account.** Changing tax residency doesn't force you to close it. The money stays invested and keeps the tax treatment it has.
- **New contributions** generally need ongoing Polish tax residency (in some cases EU/EEA citizenship). Once you're neither, adding new money is usually off the table — but the account itself continues to compound.
- **IKE, taken early or after leaving:** 19% on gains only, partial withdrawals allowed. Same as an ordinary taxable account — which is why IKE carries little downside for someone who might move.
- **IKZE, taken early or after leaving:** the strict path from §3. Close it and the whole balance is added to that year's income and taxed on the scale; you effectively return the deductions. Past refunds stay yours. No partial withdrawal.

> THE EXIT-TAX QUESTION
>
> Poland has an "exit tax" — 19% on unrealised gains — but it only applies if your relevant assets exceed `4,000,000 zł` and you were a Polish tax resident for at least 5 of the last 10 years. Most people are far below that line. Whether assets held *inside* an IKE/IKZE wrapper are even in scope isn't clearly settled in public sources — if it might affect you, that's a question for a licensed advisor.
>
> Where the eventual payout is taxed depends on your new country and its double-tax treaty with Poland. Some countries won't recognise the Polish tax break and may tax the payout under their own rules. Confirm the specifics with a licensed tax advisor before you act on a move.

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11 How the IKZE refund actually reaches you

The refund isn't cash the provider sends you. You claim it on your annual PIT return, the normal way an overpayment comes back.

- Your provider gives you a statement of the year's contributions.
- You enter that total in the deduction section of your PIT — `PIT-36`, `PIT-37` or `PIT-36L` depending on how you're taxed — usually via the `PIT/O` annex.
- Once you file (most people through the `e-Urząd Skarbowy` portal), the overpayment is returned the standard way, generally within weeks.

- Keep the annual contribution confirmation — that's your proof if anyone asks.

12 The acronym cheat sheet

IKE	Indywidualne Konto Emerytalne — the tax-free-growth account.
IKZE	Indywidualne Konto Zabezpieczenia Emerytalnego — the deduct-now account.
ZUS	The state social-insurance system — Poland's first-pillar pension.
PPK / PPE	Workplace saving schemes — the employer-based second pillar.
OIPE	A newer pan-European personal pension product.
PIT	Personal income tax, and the name of the annual return forms.
PESEL	Your Polish personal ID number.
NIP	Tax identification number, used mainly for business.
JDG	Sole proprietorship / self-employment (jednoosobowa działalność gospodarcza).
UoP	Umowa o pracę — a standard employment contract.
Belka tax	The 19% tax on investment gains — waived inside IKE.
TFI	Fund-management company.
DM	Dom Maklerski — a brokerage house.
UFK	Insurance-linked investment fund.
skala / liniowy / ryczałt	The three ways of being taxed — progressive scale, flat 19%, or lump-sum on revenue.

13 Where this leaves you

You now have the mechanics: what each account does with your money, the 2026 limits, why your tax form changes the IKZE math, that you qualify as a foreigner with a PESEL and Polish tax residency, where the wrappers live, and what leaving Poland actually triggers.

A sensible next step is to confirm the current-year limits (they move every year), look at providers by what you'd want to hold inside the wrapper, and — if cross-border tax, business structure, or a possible move is part of your picture — bring those specifics to a licensed doradca podatkowy. This guide gets you to the right questions; a licensed advisor answers them for your exact situation.

IMPORTANT

Disclaimer: This content is strictly for educational purposes. We are not a licensed financial advisor or tax advisor (doradca podatkowy). We do not provide personalized investment recommendations or cross-border tax advice. Investments carry risk, and past performance does not guarantee future results. Confirm anything that affects your money with a licensed professional before acting on it.

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On the numbers: 2026 contribution limits follow the Ministry's announcements in Monitor Polski; tax mechanics reflect the Act on Individual Retirement Accounts (20 April 2004) and current PIT rules. Limits are reviewed each year — this guide was last reviewed for the 2026 figures.